

Introduction: What Is International Business?

International Summer University^{WU} 2026 — Chapter 1
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Session agenda

Chapters 1 and 2, combined into one 90-minute arc

Part 1 · Introduction to international business

- What international business is — key concepts, elements and the four risks
- The value chain and international (global) value chains
- Participants and why firms internationalize
- Case study: Uber — SWOT and discussion
- International business by the numbers

Part 2 · Globalization of markets

- Phases and driving forces of globalization
- Dimensions of market globalization
- Internationalizing the firm's value chain
- Technology and the societal consequences of globalization
- Globalization by the numbers

Learning objectives

- 1.1 Describe the key concepts in international business
- 1.2 Understand how international business differs from domestic business
- 1.3 Identify major participants in international business
- 1.4 Explain why firms internationalize
- 1.5 Appreciate why you should study international business
- 1.6 Learn the CKR Intangible Human Skills and the CKR Tangible Process Tools to improve your employability and success in the workplace

Opening vignette: spot a multinational

IN-CLASS OPENER · 10 MINUTES · WRITE, THEN THINK-PAIR-SHARE

Objective: build a concrete, shared starting point for today's core ideas — the definition of international business, its elements, and its risks — from real firms you already know.

- 1 On your own, choose a **multinational enterprise (MNE)** you know well — a firm from your home country, or one whose products or services you use.
- 2 In three or four sentences, describe **what it does and where**: which foreign countries it operates in, and how it entered them (exporting, a foreign subsidiary, an acquisition, a joint venture?).
- 3 Name one **international business activity** it performs abroad — sourcing, manufacturing, sales, R&D — and one **risk** it faces there: cross-cultural, country, currency or commercial.
- 4 Turn to your neighbour and compare your two firms: which **motives and risks** do they share?
- 5 We will collect several examples on the board and use them to build the **definition of international business, its six elements, and the four risks** — the roadmap for today's session.

The value chain: how a business creates value

Business: an organisation that creates value by producing goods or services customers are willing to pay for. Michael Porter’s **value chain** (1985) is the sequence of value-adding activities a firm performs to design, produce, market, deliver and support its product; **margin** is the value created less the cost of creating it.

SUPPORT ACTIVITIES

Firm infrastructure
Human resource management
Technology development
Procurement

PRIMARY ACTIVITIES

Inbound logistics	Operations	Outbound logistics	Marketing & sales	Service	Margin
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International (global) value chains

Firms increasingly **disperse the activities of the value chain across countries**, locating each activity where it can be performed best or most cheaply — creating an international, or global, value chain.

- **Upstream** activities (R&D, procurement, manufacturing) versus **downstream** activities (marketing, distribution, sales, service).
- **Outsourcing**: delegating an activity to an external supplier — global outsourcing when that supplier is abroad.
- **Offshoring**: relocating a major value-chain activity to a foreign location.
- **Global sourcing**: configuring the whole chain to exploit the most advantageous locations worldwide.
- Example: a smartphone is designed in the United States, its chips made in Taiwan and South Korea, assembled in China or Vietnam, and sold worldwide.
- The pay-off is efficiency and access to capabilities — at the cost of greater country, currency and supply-chain risk.

International and domestic business: how they differ

- International business
- is conducted across national borders.
- uses distinctive business methods.
- is in contact with countries that differ in terms of culture, language, political system, legal system, economic situation, infrastructure, and other factors.
- Stated differently, when they venture abroad, firms encounter four major types of risk.

Six elements of international business (Exhibit 1.1)

Elements of international business

Globalization of markets

Growing economic integration and interdependency of countries

International trade

Exporting and importing of products and services

International investment

Foreign direct investment and portfolio investment

International business risks

Cross-cultural, country, currency and commercial risk

Participants

Firms, intermediaries, facilitators and governments

Foreign market entry strategies

Exporting, FDI and other entry modes

Globalization of markets

- Unprecedented growth of international trade. In 1960 global trade was about US\$300 billion a year; by 2024 world merchandise exports reached roughly US\$24 trillion, and total world trade in goods and services hit a record ~US\$33 trillion.
- Trade between nations, accompanied by substantial flows of capital, technology, and knowledge.
- Development of sophisticated global financial systems that facilitate the cross-border flow of products, money, technology, and knowledge.
- Greater collaboration among nations through multilateral agencies such as the World Trade Organization (166 members in 2024) and the International Monetary Fund.

The “flows” of international business



The four risks of international business (Exhibit 1.8)

Cross-cultural risk

- Cultural differences
- Negotiation patterns
- Decision-making styles
- Ethical practices

Country (political) risk

- Government intervention and protectionism
- Laws and regulations unfavourable to foreign firms
- Inadequate or underdeveloped legal system
- Bureaucracy, red tape and corruption
- Economic mismanagement or failure

Currency (financial) risk

- Currency exposure
- Asset valuation
- Foreign taxation
- Inflationary and transfer pricing

Commercial risk

- Weak partner
- Operational problems
- Timing of entry
- Competitive intensity
- Poor execution of strategy

- **Cultural Differences.** Risk arising from differences in language, lifestyle, attitudes, customs, and religion, where a cultural miscommunication jeopardizes a culturally-valued mindset or behavior.
- **Negotiation Patterns.** Negotiations are required in many types of business transactions. For example, where Mexicans are friendly and emphasize social relations, Americans are assertive and get down to business quickly.
- **Decision-Making Styles.** Managers make decisions continually on the operations and future direction of the firm. For example, Japanese take considerable time to make important decisions. Canadians tend to be decisive, and “shoot from the hip”.
- **Ethical Practices.** Standards of right and wrong vary considerably around the world. For example, bribery is relatively accepted in some countries in Africa, but is generally unacceptable in Sweden.

Country risk (political risk)

- Government intervention, protectionism, and barriers to trade and investment.
- Bureaucracy, red tape, administrative delays, and corruption.
- Lack of legal safeguards for intellectual property rights.
- Legislation unfavorable to foreign firms.
- Economic failures and mismanagement.
- Social and political unrest and instability.
- The United States imposes tariffs on imports of sugar and other agricultural products.
- Doing business in Russia often requires paying bribes to government officials.
- Venezuela's government has interfered much with the operations of foreign firms.
- Argentina has suffered high inflation and other economic turmoil.

Currency risk (financial risk)

- **Currency exposure.** General risk of unfavorable exchange rate fluctuations.
- **Asset valuation.** Risk that exchange rate fluctuations will adversely affect the value of the firm's assets and liabilities.
- **Foreign taxation.** Income, sales, and other taxes vary widely worldwide, with implications for company performance and profitability.
- **Inflationary pricing.** High inflation, common to many countries, complicates business planning, and the pricing of inputs and finished goods.
- The Japanese yen has fluctuated a lot in recent years.
- The United States has relatively high corporate income taxes.
- Argentina and Turkey have experienced very high inflation.

Commercial Risk

- Weak partner
- Operational problems
- Timing of entry
- Competitive intensity
- Poor execution of strategy
- General commercial risks such as these lead to sub-optimal formulation and implementation of the firm's international value-chain activities.

Who participates in international business?

- **Multinational enterprise (MNE):** A large company with substantial resources that performs various business activities through a network of subsidiaries and affiliates located in multiple countries (e.g., Disney, Microsoft, Samsung, Unilever, Vodafone).
- **Small and medium-sized enterprise (SME):** Typically, companies with 500 or fewer employees, comprising over 90% of all firms in most countries. SMEs increasingly engage in international business.
- **Born global firm:** A young, entrepreneurial SME that undertakes substantial international business at or near its founding.
- **Governments:** Associated with government intervention and specific political systems
- **Non-governmental organizations(NGOs):** Many such non-profit organizations conduct cross-border activities. They pursue special causes and serve as advocates for social issues, education, politics, and research.
- The Bill and Melinda Gates Foundation and the British Wellcome Trust both support health and educational initiatives.
- CARE is an international non-profit organization dedicated to reducing poverty.

Case study: Uber — the company and its history

Uber Technologies is an American mobility **platform** founded in San Francisco in 2009. Its app matches passengers with independent drivers who use their own cars; fares are **dynamic**, rising with demand and typically undercutting conventional taxis. Uber owns no cars and employs no drivers — it runs a two-sided marketplace and keeps roughly **20–25%** of each fare.

From ride-hailing it has expanded into food delivery (**Uber Eats**), freight (**Uber Freight**) and business travel (**Uber for Business**). By 2025 it operated in about **15,000 cities across ~70 countries**, serving roughly **202 million** monthly users and **~42 million** trips and orders a day, with group revenue near **US\$44 billion** in 2024.

A BRIEF HISTORY

- 2009** Founded as UberCab in San Francisco by Travis Kalanick and Garrett Camp
- 2011** First international city — Paris; app becomes “Uber”
- 2012** Low-cost UberX launches; rapid global expansion begins
- 2014** Uber Eats food delivery introduced
- 2016** Sells Uber China to rival Didi Chuxing for a ~18% stake
- 2018** Exits South-East Asia (sold to Grab) and Russia (merged with Yandex)
- 2019** Goes public on the NYSE at roughly US\$82 billion
- 2020** Buys Postmates; sells Uber Eats India to Zomato
- 2023** Reports its first full-year operating profit
- 2025** ~15,000 cities in ~70 countries; ~202 m monthly users

Case study: Uber — going global

IN-CLASS CASE · SWOT ANALYSIS + DISCUSSION

INTERNATIONAL SUCCESSES

- Market leader or strong number two across the US, Latin America (Brazil, Mexico), much of Europe and the Middle East.
- Uber Eats grew into a global delivery business, lifting group revenue to about US\$44 billion in 2024.
- Kept equity in former rivals after retreating — ~18% of Didi (China) and ~27% of Grab (SE Asia) — profiting even where it withdrew.

INTERNATIONAL SETBACKS

- Lost costly price wars and exited: sold Uber China to Didi (2016) and South-East Asia to Grab (2018).
- London: Transport for London stripped its licence in 2017 and 2019; Uber ran only on appeal.
- 2021 UK Supreme Court reclassified drivers as “workers” (minimum wage, holiday pay); bans and limits in several other cities.

YOUR TASK — SWOT ANALYSIS

Strengths

Weaknesses

Opportunities

Threats

Discuss: using your SWOT, **why should Uber internationalize** — and are there markets where it should *not*?

Why do firms internationalize? (1 of 3)

- Seek opportunities for growth through market diversification. For example, Harley-Davidson, IKEA, H&M.
- Earn higher margins and profits. Often, foreign markets are more profitable.
- Gain new ideas about products, services, and business methods. For example, GM refined its knowledge for making small, fuel-efficient cars in Europe. Retailer H&M gains new product ideas by following fashion trends around the world.



Why do firms internationalize? (2 of 3)

- Serve key customers that have relocated abroad. For example, when Toyota launched its operations in Britain, many of its suppliers followed suit.
- Be closer to supply sources, benefit from global sourcing advantages, or gain flexibility in the sourcing of products. For example, Apple sources parts and components from the best suppliers worldwide.
- Gain access to lower-cost or better-value factors of production. For example, Sony does much manufacturing in China.



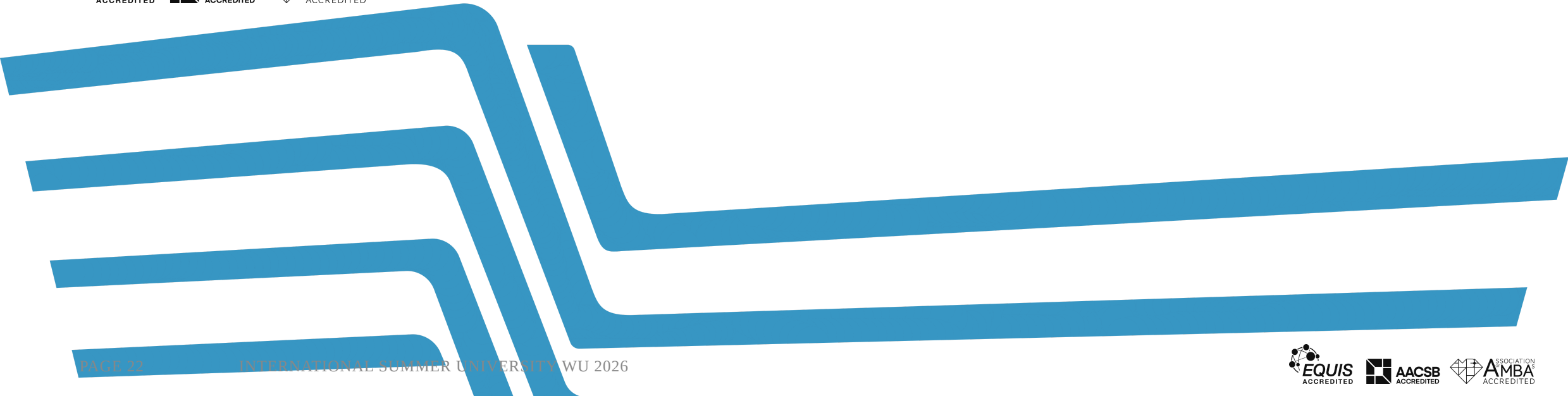
Why do firms internationalize? (3 of 3)

- Develop economies of scale in sourcing, production, marketing, and R&D. For example, Airbus lowers its overall costs by sourcing, manufacturing, and selling aircraft worldwide.
- Confront international competitors more effectively or thwart the growth of competition in the home market. Chinese appliance maker Haier established operations in the United States, partly to gain competitive knowledge about Whirlpool, its chief US rivals.
- Invest in a potentially rewarding relationship with a foreign partner. French computer firm Groupe Bull partnered with Toshiba in Japan to gain insights for developing information technology.

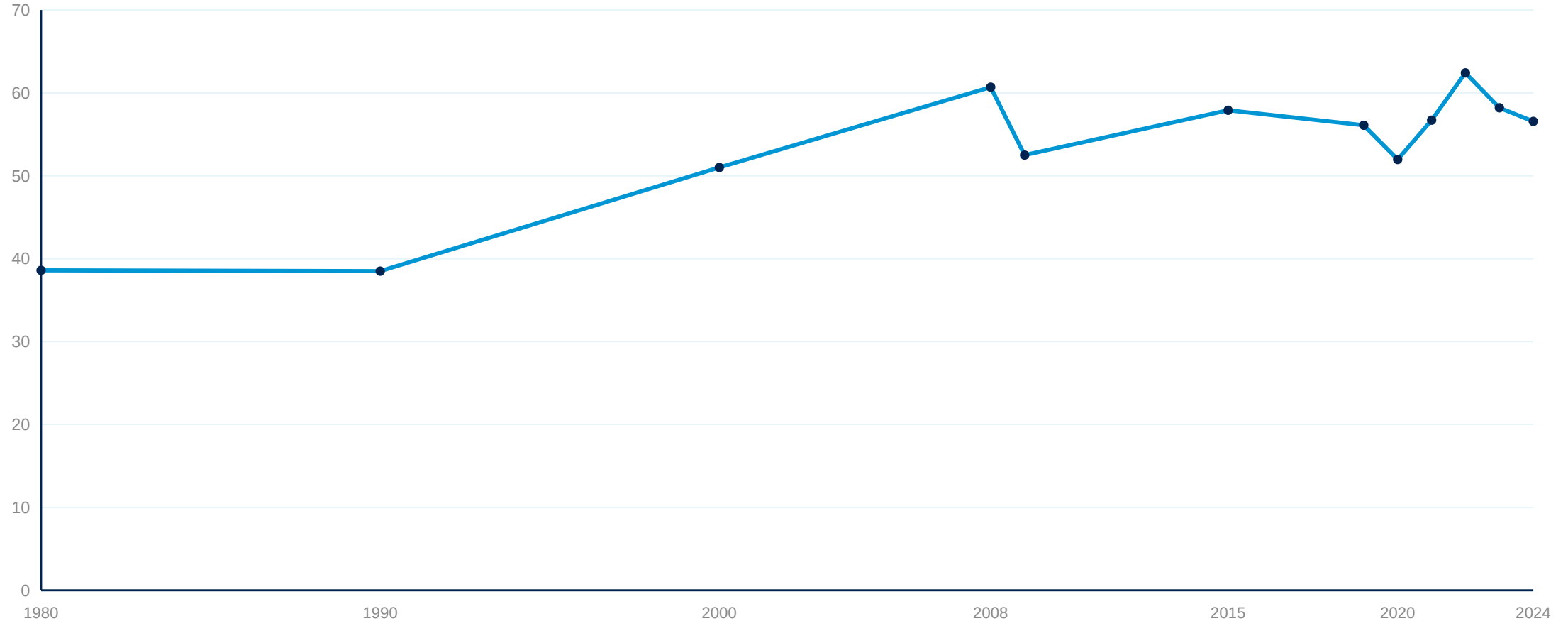
International business by the numbers



Trade, investment and services statistics — updated to 2024–2025



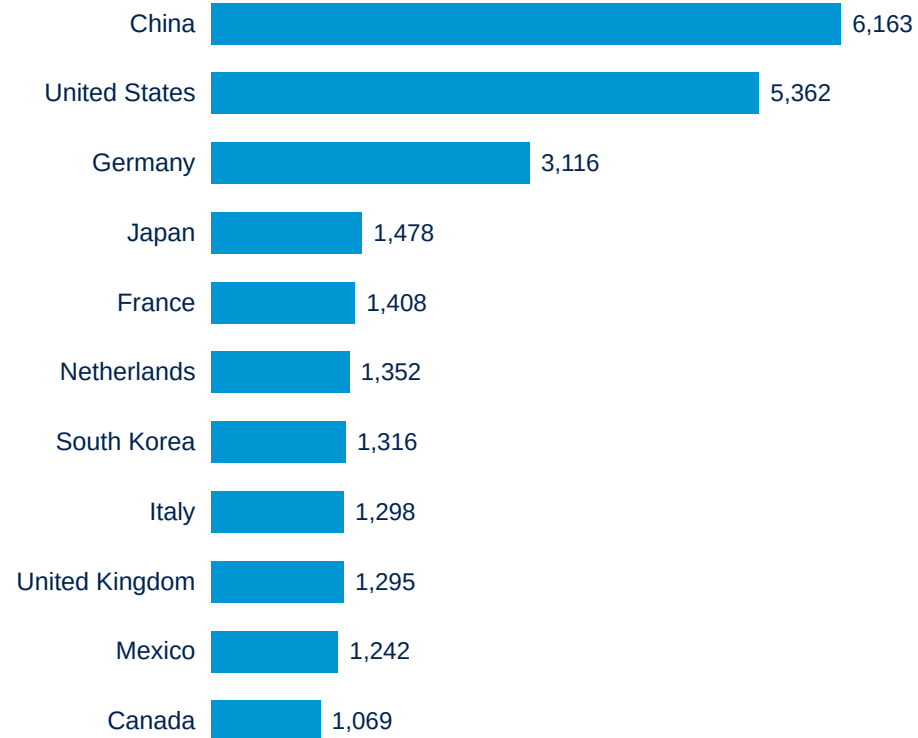
World trade as a share of world GDP, 1980–2024 (%)



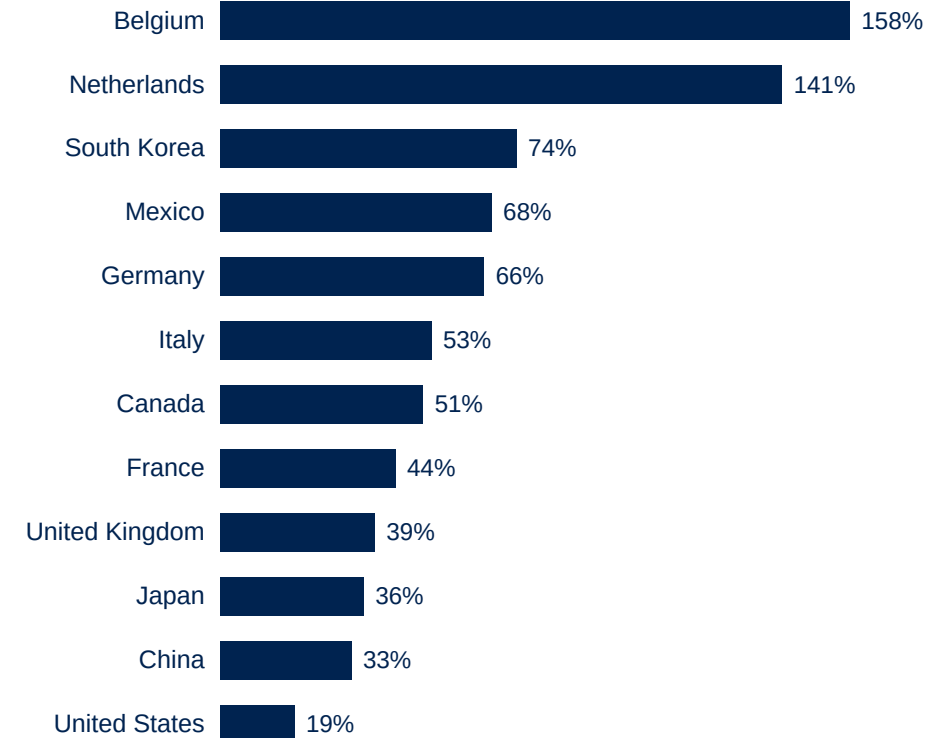
Exports + imports of goods and services as a percentage of world GDP. Source: World Bank, World Development Indicators (NE.TRD.GNFS.ZS); pre-2020 points approximate. Peak 2022 $\approx$ 62%.

Leading countries in international merchandise trade

(a) Total trade, US\$ billions

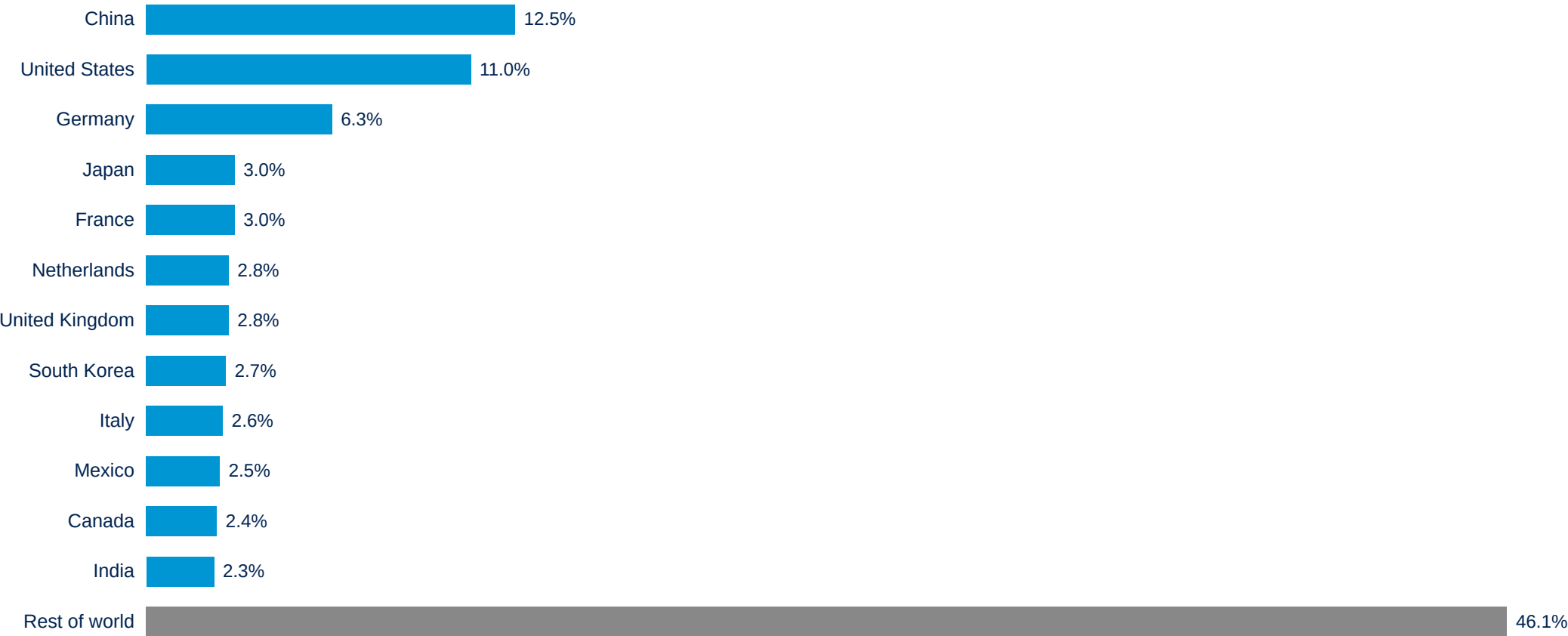


(b) Total trade as % of GDP



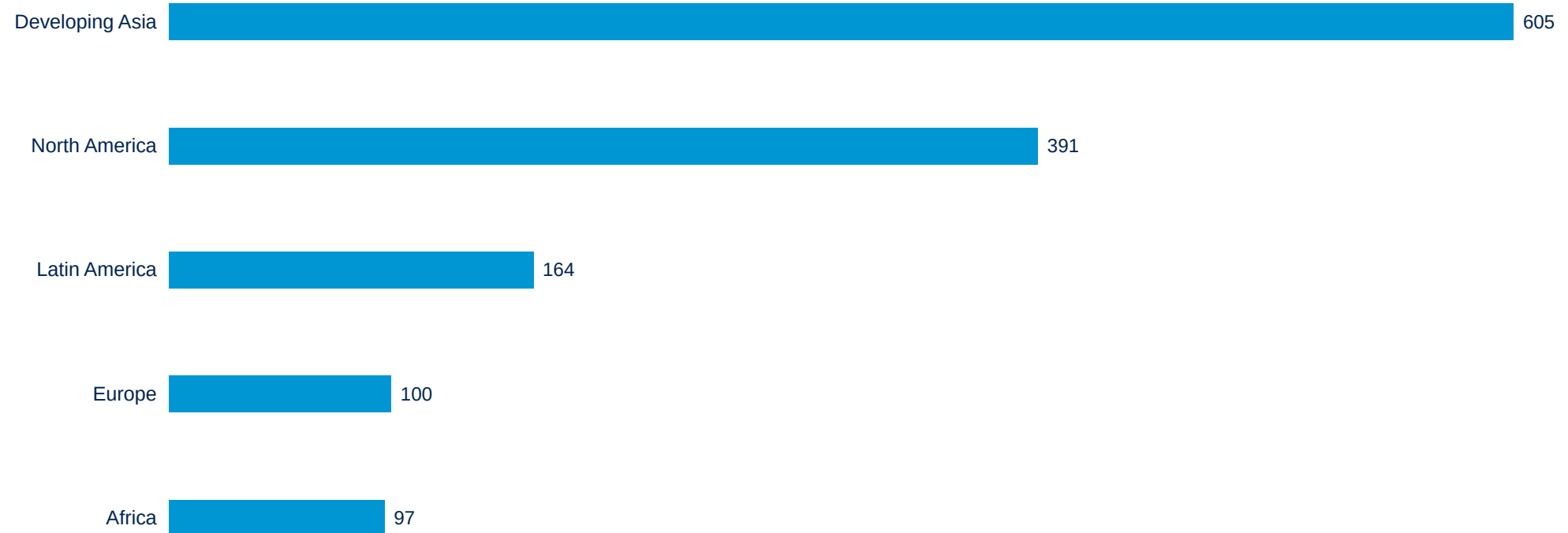
Exports + imports, 2024. Source: WTO World Trade Statistics 2025 and World Bank (TG.VAL.TOTL.GD.ZS); combined-trade totals reconstructed from WTO export data — approximate.

Share of world merchandise trade, leading countries (%)



Each country’s combined exports + imports as a share of total world merchandise trade, 2024 (estimated from WTO 2024 data). Source: WTO.

FDI inflows by world region, 2024 (US\$ billions)



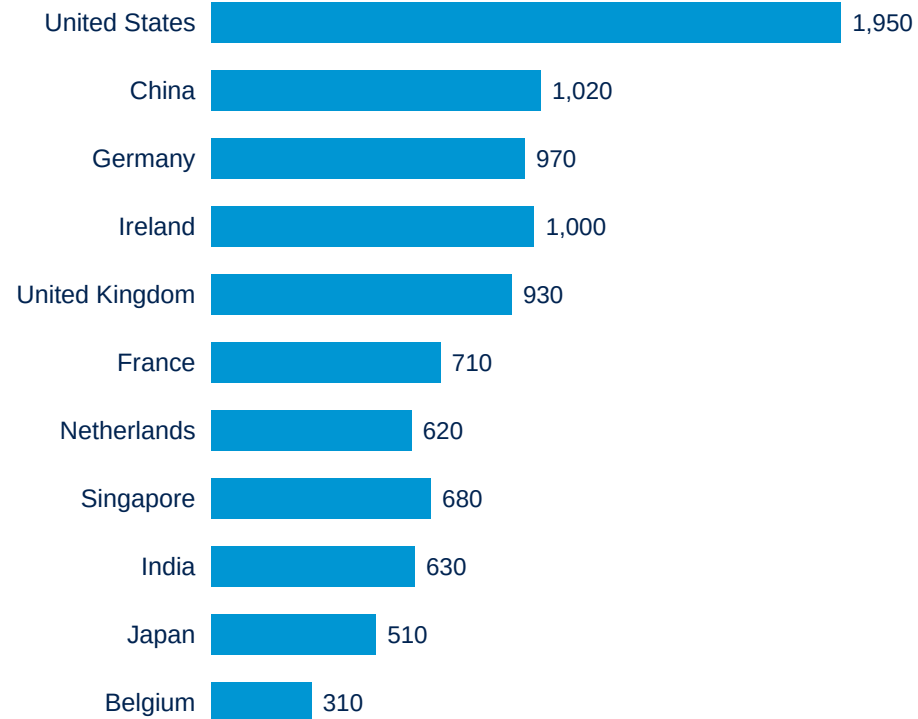
Foreign direct investment inflows, 2024; global total ≈ US\$1.5 trillion. Source: UNCTAD World Investment Report 2025.

Service industries that are rapidly internationalizing

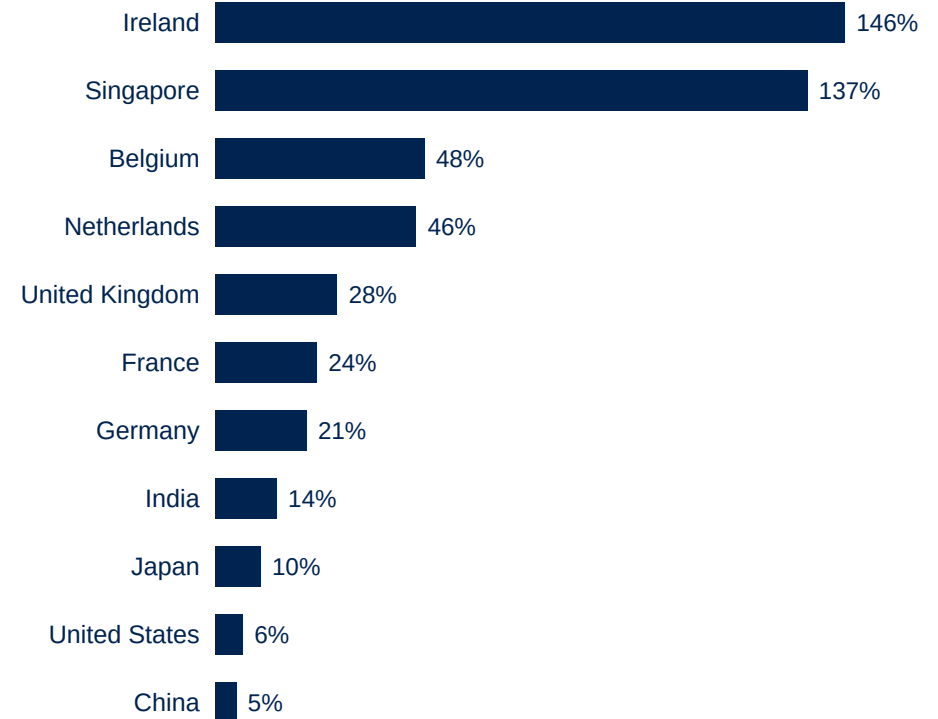
Industry	Representative activities	Representative companies
Architectural, construction and engineering	Construction, power utilities, design and engineering services for airports, hospitals, dams	ABB, Bechtel Group, Halliburton, Kajima, Philip Holzman, Skanska AB
Banking, finance and insurance	Banking, insurance, risk evaluation and management	Bank of America, CIGNA, Barclays, HSBC, Ernst & Young
Education, training and publishing	Management, technical and language training; publishing	Berlitz, Kumon, NOVA, Pearson, Elsevier
Entertainment	Movies, recorded music, Internet-based entertainment	Time Warner, Sony, Virgin, MGM
Information services	E-commerce, e-mail, funds transfer, data interchange and processing, computer services	Infosys, EDI, Hitachi, Qualcomm, Cisco
Professional business services	Accounting, advertising, legal, management consulting	Leo Burnett, EYLaw, McKinsey, A.T. Kearney, Booz Allen Hamilton
Transportation	Aviation, ocean shipping, railroads, trucking, airports	Maersk, Santa Fe, Port Authority of New Jersey, SNCF
Travel and tourism	Lodging, food and beverage, air and ocean carriers, railways	Carlson Wagonlit, Marriott, British Airways

Leading countries in international services trade

(a) Total services trade, US\$ billions

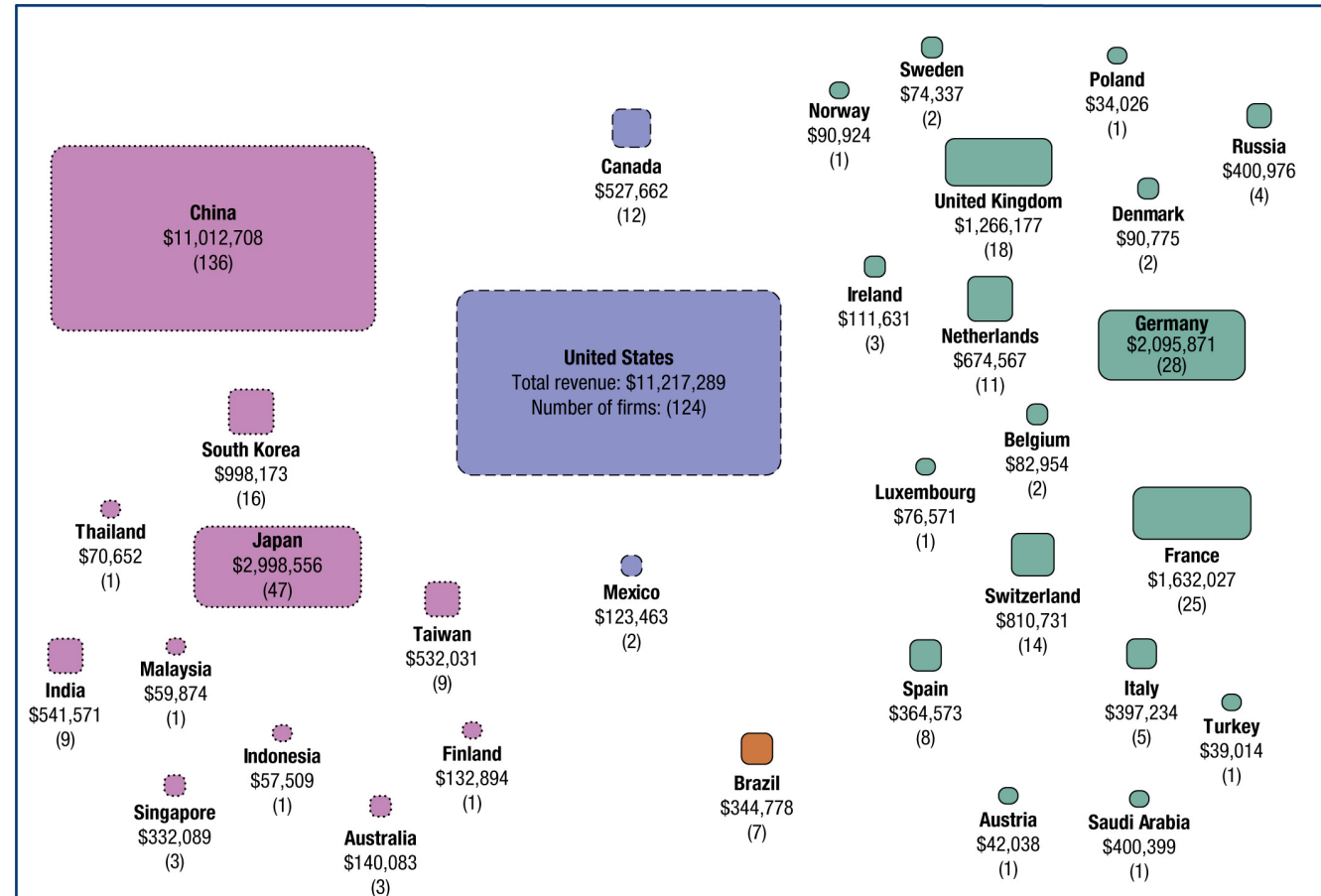


(b) Services trade as % of GDP



Services exports + imports, 2024 (value) and 2023–24 (% of GDP). Source: WTO, UNCTAD and World Bank (BG.GSR.NFSV.GD.ZS); per-country value totals are approximate.

Geographic locations of the 500 largest MNEs



In 2025 the United States regained the lead with 138 of the Fortune Global 500, ahead of Greater China's 130; Walmart ranked #1 for the 12th year. Source: Fortune Global 500, 2025.

Why study international business?

- Facilitator of the global economy and interconnectedness. IB brings nations closer together.
- Contributor to national economic well-being. IB fuels economic growth and rising living standards.
- A competitive advantage for the firm. IB provides companies with many benefits, leading to profitability and competitive advantages.
- A competitive advantage for you. Working internationally offers a range of enlightening experiences, new knowledge, and other benefits that enhance careers....and it's exciting!
- An opportunity to support ethics, sustainability and corporate citizenship. Firms must be responsible in their dealings because IB affects numerous constituents

Globalization of Markets and the Internationalization of the Firm

International Summer University^{WU} 2026 — Chapter 2
Dr. Arne Floh · Department of Global Trade, WU Vienna

Learning objectives

- 2.1 Understand market globalization as an organizing framework.
- 2.2 Learn the driving forces of globalization.
- 2.3 Understand the impact of technological advances and globalization.
- 2.4 Learn the dimensions of globalization.
- 2.5 Understand firm-level consequences of market globalization.
- 2.6 Understand the societal consequences of globalization.

Opening vignette: trace a global value chain

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Objective: see globalization at work in a single product, and build the driving-forces → dimensions → consequences framework from real examples.

- 1 Choose a product you own — a phone, a pair of shoes, a coffee, a car.
- 2 Map where each value-chain stage happens: **R&D, sourcing, manufacturing, assembly, marketing, sales and service** — in which countries?
- 3 Which **driving forces** of globalization made this dispersion possible (falling trade barriers, market liberalization, technology)?
- 4 Name one **benefit** and one **societal cost** of this global value chain.
- 5 We will use your examples to build the framework for today: **drivers** → **dimensions** → **consequences**.

Overview: globalization of markets

- Globalization and technological advances have altered the international business landscape more than any other trends.
- In this class, globalization refers to the interconnectedness of national economies and the growing interdependence of buyers, producers, suppliers, and governments around the world.
- Globalization allows firms to view the world as one large marketplace for goods, services, capital, labor, and knowledge.

Phases of globalization

Phase	Approximate period	Triggers	Key characteristics
First	1830 to late 1800s (peak 1880)	Railroads and ocean transport	Rise of manufacturing; cross-border trade of commodities, largely by trading companies
Second	1900 to 1930	Electricity and steel production	Early MNEs (mainly Europe and North America) dominate manufacturing, extractive and agricultural industries
Third	1948 to 1970s	GATT formed; end of WWII; Marshall Plan	Western focus on reducing trade barriers; rise of MNEs from Japan; global capital markets; global trade names
Fourth	1980s to ~2006	Privatization in transition economies; ICT and transport revolution; growth of emerging markets	Rapid growth in cross-border trade of products, services and capital; internationally active SMEs and services firms
Fifth	2007 to present	Rise of digital and other new technologies	Technology facilitates trade and local production; rising digitally enabled services but slowing merchandise trade

The death of distance

Time period	Fastest transportation was via	At a speed of...
1500 to 1840s	Human-powered ships and horse-drawn carriages	10 mph
1850 to 1900	Steamships · steam locomotive trains	36 mph · 65 mph
Early 1900s to today	Motor vehicles · propeller airplanes · jet aircraft	75 · 300–400 · 500–700 mph

An organizing framework for market globalization

Exhibit 2.2 — market globalization as a system: driving forces produce dimensions, which produce firm-level and societal consequences.

Driving forces

Falling trade & investment barriers · market liberalization · industrialization · integrated financial markets · technology

Dimensions

Integration of economies · regional blocs · global financial flows · converging lifestyles · globalized production & services

Firm-level consequences

New opportunities and rivals · more demanding, globally sourcing buyers · proactive internationalization of the value chain

Societal consequences

Contagion · loss of sovereignty · offshoring & job flight · effects on the poor, the environment and national culture

Driving forces of market globalization

- **Reduction of trade and investment barriers.** Governments have greatly lowered barriers, aided by the World Trade Organization — now **166 member nations** (2024) representing over 98% of world trade.
- Market liberalization and free markets — reforms in China, India and elsewhere opened about one third of the world to freer trade.
- Industrialization and modernization — developing economies moved from low-value to higher-value goods (electronics, computers) and became attractive target markets.
- Integration of world financial markets — firms raise capital, borrow and trade currencies wherever they operate.
- Advances in technology — cut the cost of doing business internationally and let even small firms internationalize.

Dimensions of market globalization

- **Integration and interdependence** of national economies, as governments lower trade and investment barriers.
- **Rise of regional economic blocs** — free-trade areas such as the EU, USMCA and MERCOSUR.
- **Growth of global investment and financial flows** — FDI, currency trading and global capital markets.
- **Convergence of buyer lifestyles and preferences**, enabling firms to market more standardized products.
- **Globalization of production** — manufacturing in low-cost locations and sourcing services abroad.
- **Globalization of services** — banking, retail and business processes internationalize rapidly.

Firm-level consequences: internationalizing the value chain

- A purely domestic focus is no longer viable in most industries — market globalization compels firms to internationalize.
- **Value chain:** the sequence of value-adding activities a firm performs to develop, produce and market a product or service.
- The truly international firm configures sourcing, manufacturing, marketing and other activities on a global scale.
- Rationale: **cost savings**; greater efficiency, productivity and flexibility; access to customers, inputs, labour or technology; and the capabilities of foreign partners.

Internationalizing the firm's value chain (Exhibit 2.6)

Stages in the firm's value chain — performed wherever they are done best

1. Research & development

Pfizer runs R&D in Singapore and Japan to access scientific talent.

2. Procurement (sourcing)

Steelcase sources low-cost parts from China and Mexico; Dell offshores back-office tasks to India.

3. Manufacturing

Genzyme makes and tests products in Germany, Switzerland and the UK; Renault builds cars in Eastern Europe.

4. Marketing

BMW and Honda place marketing subsidiaries in the US; Carrefour and Barclays build worldwide networks.

5. Distribution

Wolverine World Wide contracts with independent retail stores abroad to reach customers.

6. Sales & service

Amway and Avon use their own sales forces in China and Mexico; Toyota runs service operations abroad.

Technology: digital, IoT and transport

- **Digitalization** transforms business functions by leveraging digital technologies and data; it opened the global marketplace to firms that once lacked the resources to internationalize.
- **The Internet of Things (IoT)** connects machines online; mobile telephony and apps have created millions of jobs and big GDP gains — smartphone subscriptions passed **7 billion** worldwide by 2025 (~5.8 billion users).
- Videotelephony (FaceTime, Zoom, Teams) hugely increased the volume and quality of global communication for firms, schools and governments.
- **Manufacturing:** low-scale, low-cost production and online platforms raise industrial productivity.
- **Transportation:** fuel-efficient jets, giant freighters and containerization sharply cut international transport costs, spurring trade.

Societal consequences: sovereignty, jobs and the poor

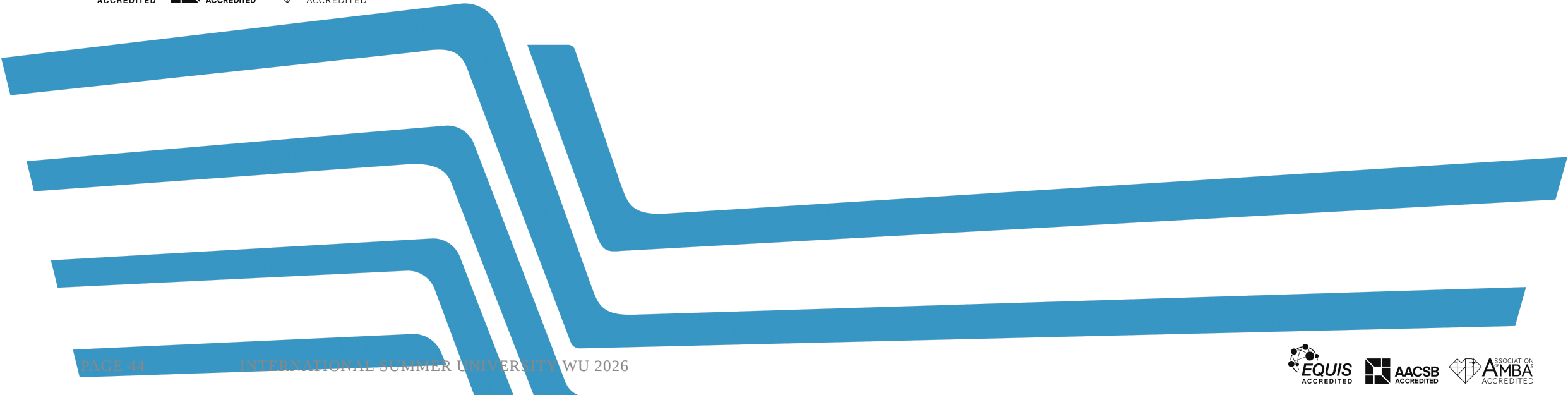
- **Loss of national sovereignty.** MNE activities can limit governments' control of their economies; some firms are bigger than many national economies (e.g., Walmart, Shell). Yet global competition can also make MNEs less powerful.
- **Offshoring and the flight of jobs.** Firms shift production abroad to cut costs; firms benefit while communities are disrupted. Some MNEs now **reshore** to capture home-based advantages.
- **Effect on the poor.** Globalization usually creates jobs and raises wages, but disrupts local labour markets; benefits are unevenly distributed and some firms pay low wages.

Societal consequences: the environment and national culture

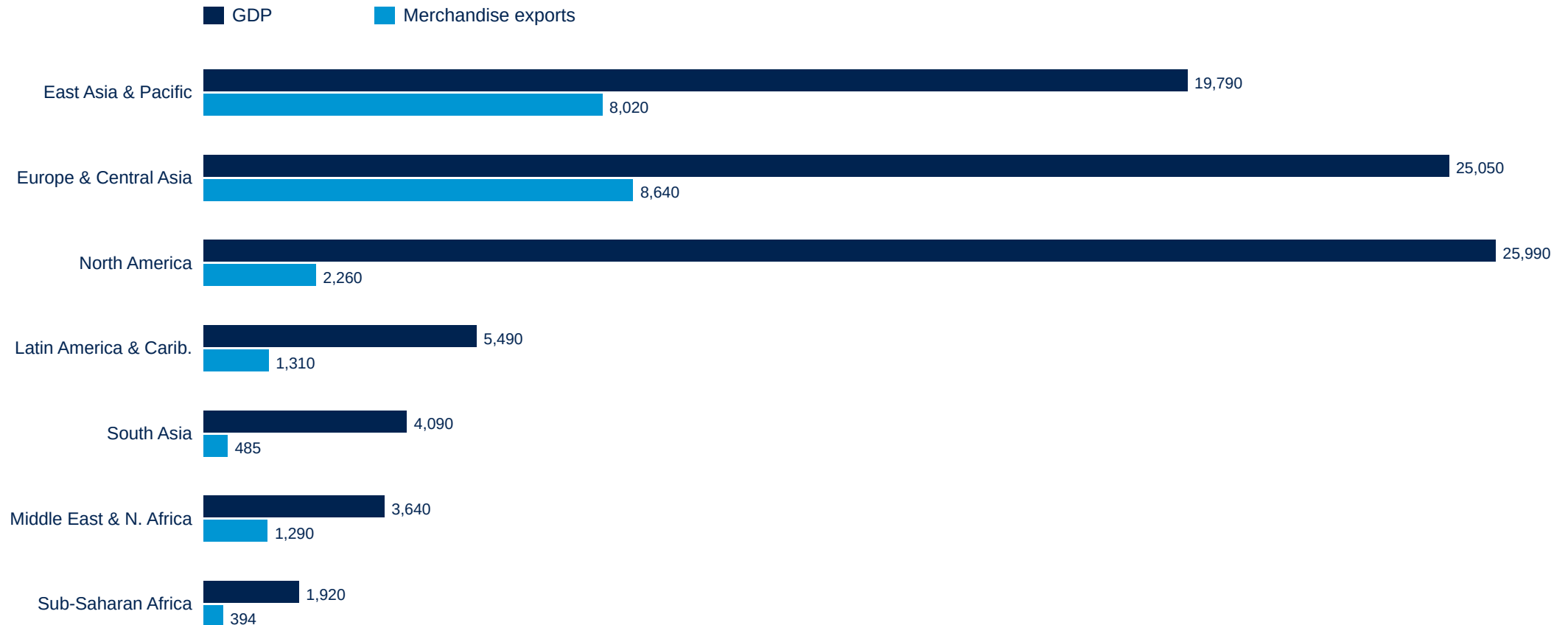
- **Effect on the natural environment.** Globalization can promote industrialization that generates pollution and habitat loss — for example, air and water pollution as China and India industrialized.
- As economies develop they tend to pass environmental-protection laws (Japan from the 1960s–80s; Mexico more recently).
- **Effect on national culture.** Global brands and media spread similar, often Western, products and values; traditional norms may homogenize and national identity can erode toward a “global” culture.

Globalization by the numbers

Trade, income, connectivity and industry data — redrawn in the WU palette

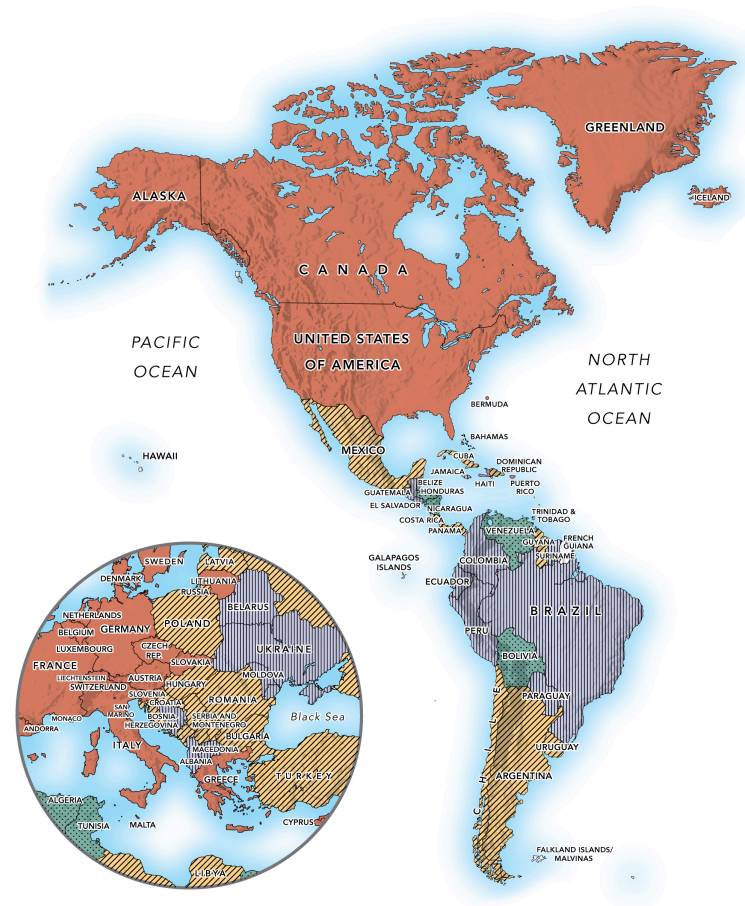


Trade and GDP by world region, 2021 (US\$ billions)



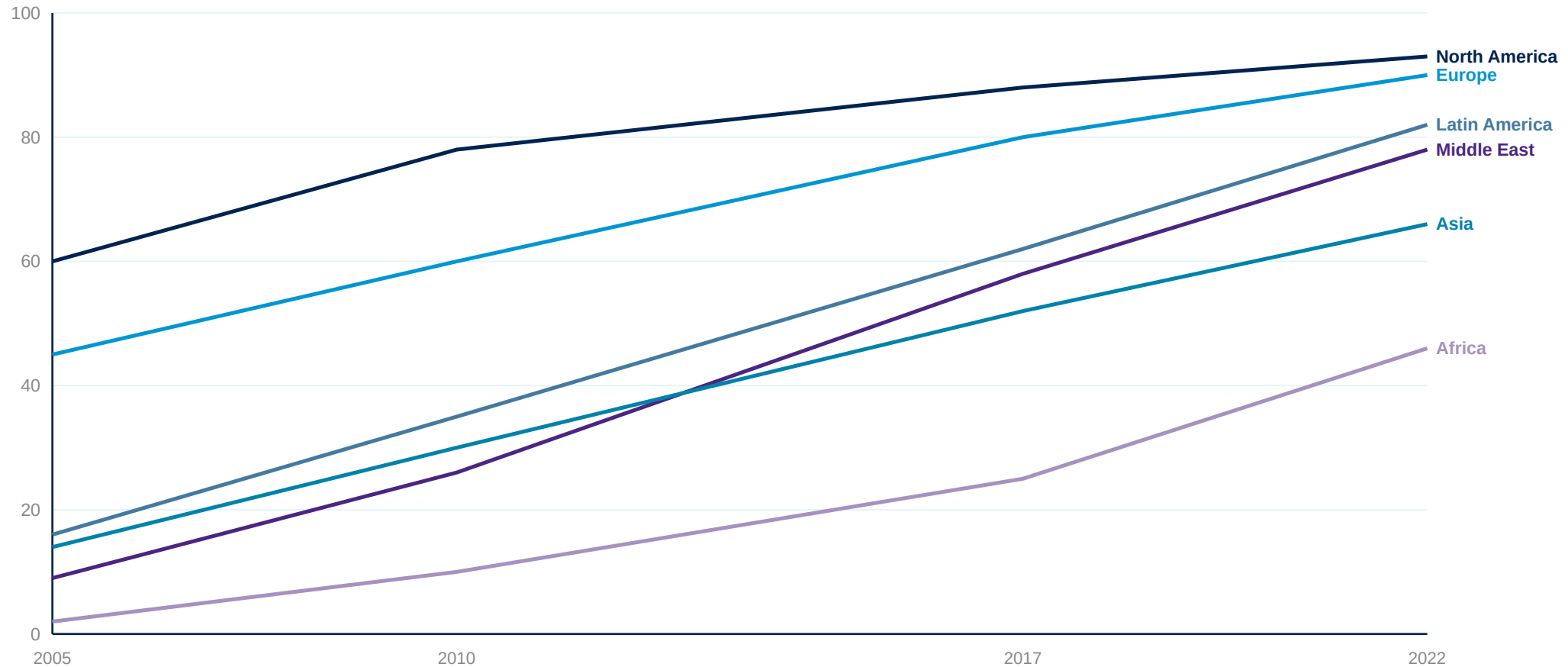
GDP and merchandise exports by region, 2021 (US\$ bn). Redrawn from World Bank data (2023); trade grew broadly in step with GDP since 2011.

Gross national income per capita, 2022 (US\$)



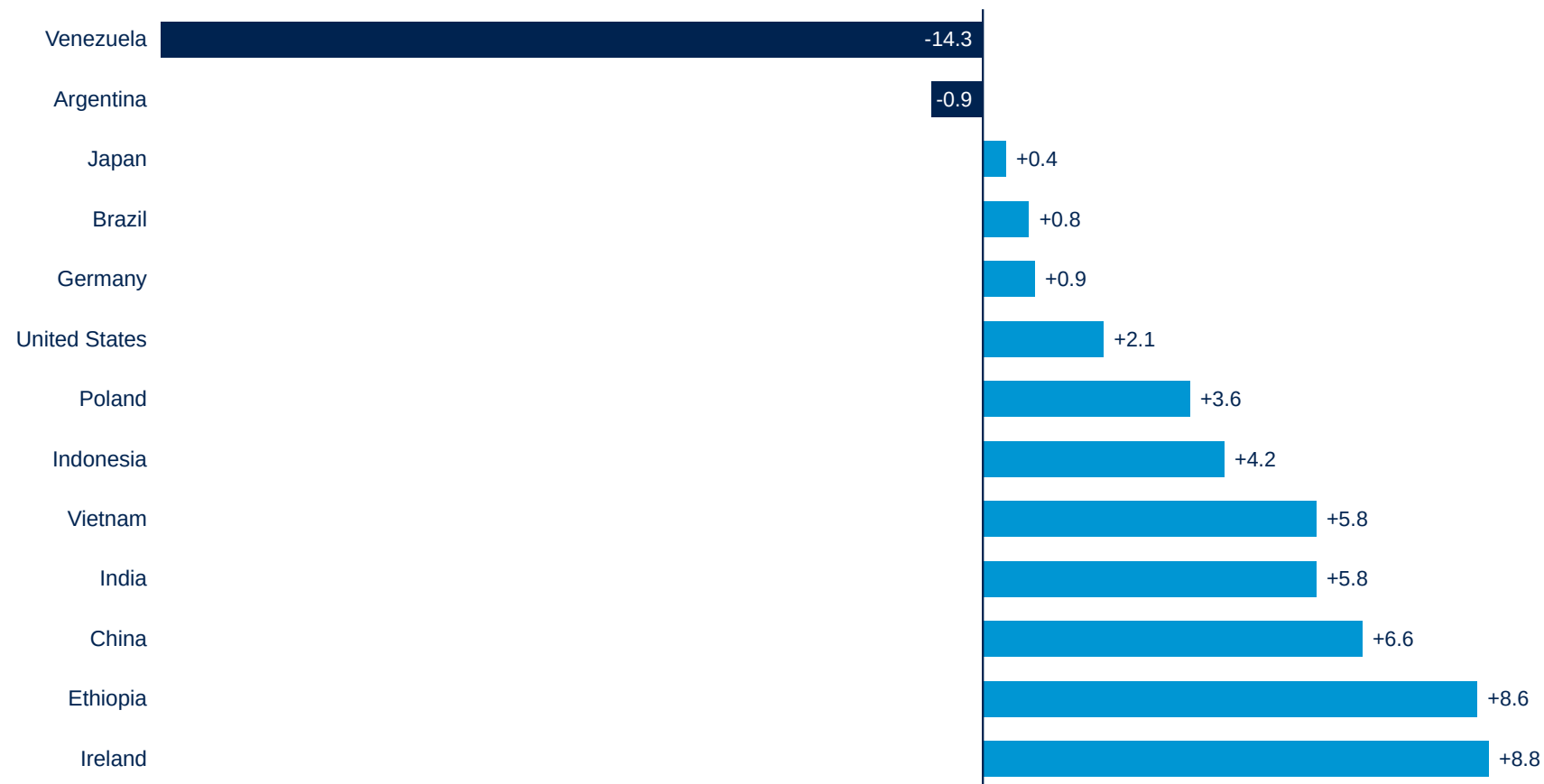
GNI per capita, Atlas method (current US\$); darker = higher income. Source: World Bank (2023). 2024 GNI data now available.

Proportion of internet users by region (%)



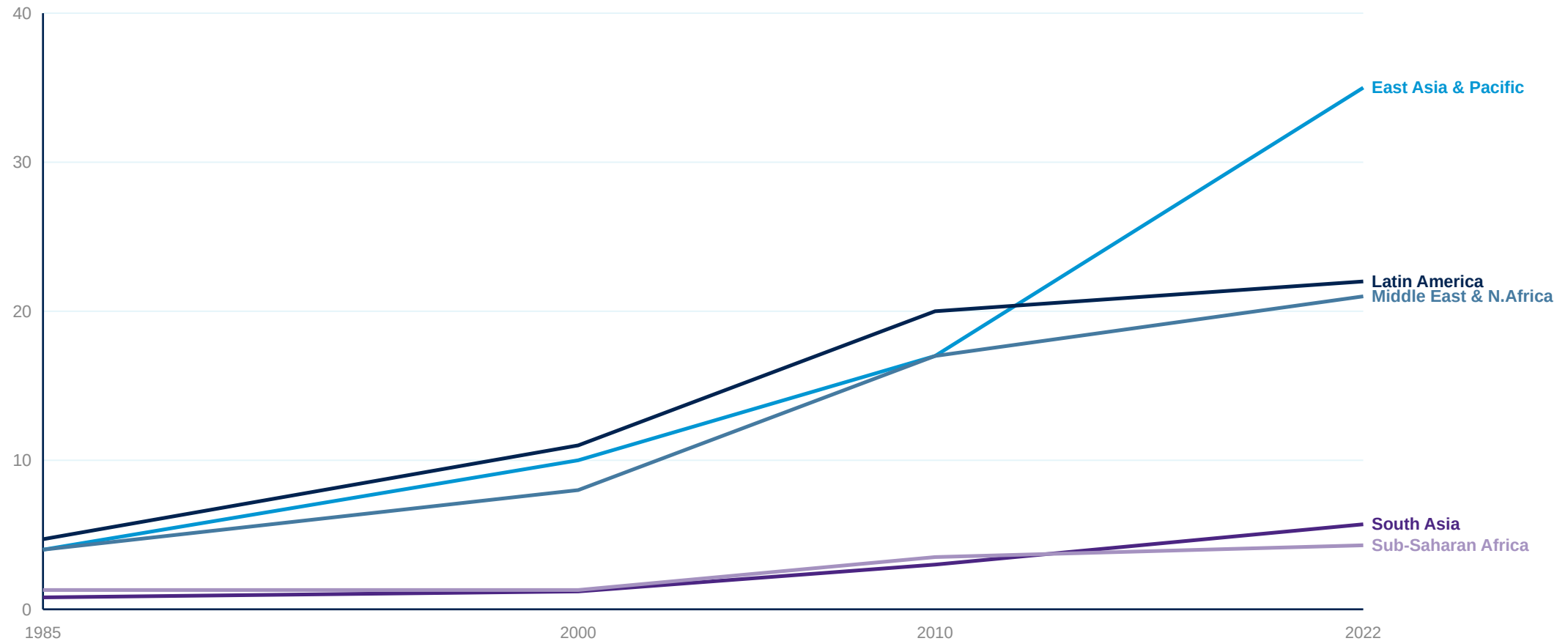
Share of population using the internet, 2005–2022. Redrawn from ITU / Internet World Stats data. Worldwide ~75% (6.0 billion people) were online by 2025 (ITU).

Average annual GDP growth, selected countries, 2013–2022 (%)



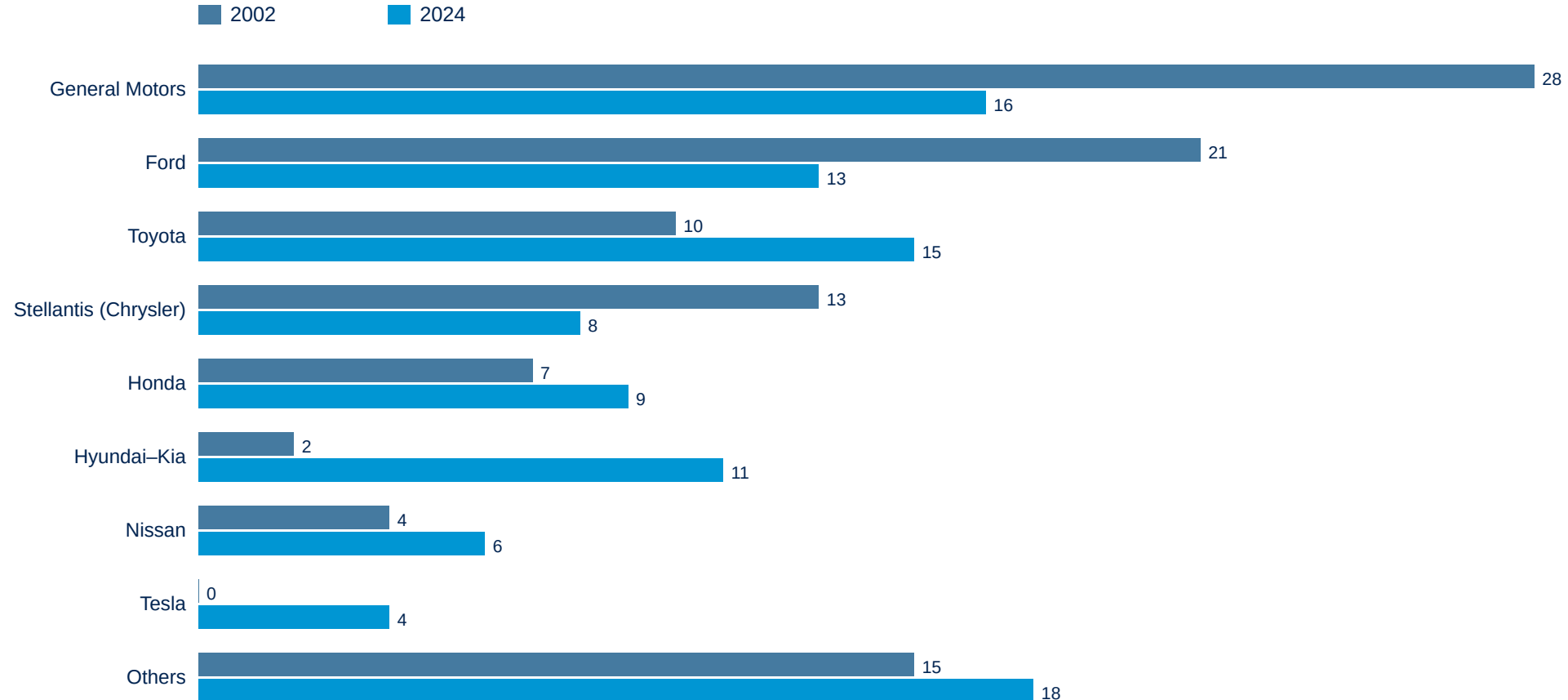
Average annual real GDP growth, 2013–2022. Source: IMF, World Economic Outlook (2023). Emerging economies (India, China, Vietnam, Ethiopia) grew fastest; India now outpaces China.

The rise of daily income levels, by region (US\$ per day)



Average daily income per capita, US\$, inflation-adjusted, 1985–2022. Redrawn from World Bank / Brookings data. Extreme poverty keeps falling, though the 2030 target will be missed.

Automaker market shares, US passenger-vehicle sales (%)



Share of US light-vehicle sales. 2002 from the textbook; 2024 approximate (Detroit's Big Three keep losing share; Tesla and Hyundai-Kia gain). Chrysler is now part of Netherlands-based Stellantis; Tesla was founded in 2003.

When globalization goes wrong: Rana Plaza

IN-CLASS CASE · RESEARCH & DISCUSS

On 24 April 2013 the eight-storey **Rana Plaza** building near Dhaka, Bangladesh, collapsed, killing **1,134 garment workers** and injuring about **2,500**. Deep cracks had appeared the day before; the shops and bank on the lower floors closed, yet factory owners ordered workers back to their machines. The factories stitched clothes for Western brands — **Primark, Benetton, Mango, Walmart, Joe Fresh** and others — sourcing from Bangladesh, whose roughly US\$20 billion garment-export industry competes on the lowest costs. The disaster exposed the human cost of **offshoring production to low-wage, weakly regulated locations**, and led to the legally binding **Accord on Fire and Building Safety in Bangladesh**.

Your task: in groups, research this case — or find **another company-linked example** of a downside of globalization (e.g. Foxconn/Apple, Shell in the Niger Delta, Coca-Cola and water use) — using at least **two credible sources**, and be ready to present it.

Sources: Clean Clothes Campaign; Business & Human Rights Resource Centre; Amnesty International; Wikipedia — “Rana Plaza collapse” (2013–2024).

Discussion questions

- 1 Which **societal consequences** of globalization does the case illustrate — job flight, effects on the poor, loss of sovereignty, environmental or cultural harm?
- 2 Where in the **global value chain** should responsibility lie — the factory owner, the host government, or the Western brands that sourced there?
- 3 Do **consumers** in richer countries share responsibility for the conditions behind cheap products?
- 4 Was **offshoring** itself the problem, or weak enforcement of standards? Would **reshoring** or nearshoring actually help these workers?
- 5 What can MNEs realistically do — factory audits, binding accords, higher prices — and what are the **trade-offs**?
- 6 On balance, did globalization leave these workers **better or worse off**? Take a vote before and after the discussion.



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